

SUPPLY AGREEMENT

This Supply Agreement ("Agreement") is entered into as of January 1, 2024, by and between SUPPLY_CHAIN Manufacturing Inc. ("Buyer") and Supplier 003 ("Supplier", internal reference SUP-0003).

1. Term

This Agreement shall remain in effect for 1 year(s) from the effective date, renewing automatically unless terminated by either party with 90 days' written notice.

2. Payment Terms

Buyer shall remit payment to Supplier under terms of Net 60 from the date of invoice, subject to receipt of a valid Advance Ship Notice (ASN) and matching purchase order.

3. Service Level Agreement (SLA)

Supplier shall deliver all shipments to the designated plant dock no later than the planned receipt date communicated via the Supplier Portal. On-time delivery performance shall be measured at the point of physical receipt at the destination plant, not at carrier hand-off or promised ship date.

3.1 Late Delivery Penalty

In the event Supplier fails to meet the planned receipt date for any shipment, Buyer shall be entitled to a penalty credit equal to 2% of shipment value per day late, capped at 15%. Penalty credits shall be applied against Supplier's next invoice.

4. Quality Requirements

Supplier warrants that all delivered parts conform to the agreed specifications. Any quality defect event resulting in rejected material shall be reported within 5 business days and is subject to return, rework, or scrap disposition at Buyer's discretion.

5. Freight and Landed Cost

Unless otherwise agreed, Supplier shall arrange freight via FedEx Freight or an equivalent carrier. Freight cost, customs duty, and handling fees are itemized separately from unit price on all invoices and are the responsibility of Buyer per the landed-cost provisions of the Master Purchasing Agreement.